

MACRO INTELLIGENCE AGENT — NIGHTLY BRIEFING

2026-06-09 | Runic Agent v2.2 | Internal use only

COMBO F — Recovery · Week 10 of 26 (MEDIUM) · started 2026-04-03

POSTURE: TACTICAL EASY MONEY

Combo F active (week 10, MEDIUM (started 2026-04-03)). 79% 6M hit rate. Outranks Combo E (19% 12M) on PRIORITY and horizon fit.

COMBO STATUS

Combo	Status	Duration	Direction	Hit Rate	Avg Return
A — Liquidity	INACTIVE	—	BEARISH	83.3% (6M)	+6.7% (6M)
B — Capitulation	WATCH	—	BULLISH	79.8% (3M)	+5.0% (3M)
C — Stagflation / Energy Shock	CANCELLED	cancelled 2026-07-03	BEARISH	0.0% (6M)	+17.8% (6M)
D — FOMO Top	INACTIVE	—	BEARISH	38.5% (5D)	+0.2% (5D)
E — Valuation Extreme	CONFIRMED	— legs CAPE, NFCI	BEARISH	18.9% (12M)	+10.9% (12M)
F — Recovery	ACTIVE	Week 10 of 26 (MEDIUM) started 2026-04-03	BULLISH	78.8% (6M)	+5.5% (6M)
G — Hidden Stress	INACTIVE	—	BEARISH	N/A	N/A

CURRENT REGIME STATE

FED CYCLE CUTTING_LATE	YIELD CURVE NORMAL	GEOPOLITICAL REGIONAL_WAR
VALUATION EXTREME CAPE 42.70x	LIQUIDITY NEUTRAL	SSI 1.00x (CONFIRMED)

MACRO INTELLIGENCE BRIEFING

Combo F (Recovery) dominates at week 10 of its MEDIUM duration episode, driven by CAPE at 42.7 (99th percentile), signaling extreme valuations amid a late-cycle Fed cutting environment. This 79% 6m hit rate signal outweighs competing bearish signals due to its proven medium-term reliability and direct alignment with current Fed easing dynamics.

Combo F (Recovery) remains ACTIVE since 2026-04-03 with a bullish SPX bias, delivering a 79% 6m hit rate with +5.5% average returns as CAPE extreme valuations coincide with late-cycle Fed cuts. Combo E (Valuation Extreme) sits CONFIRMED with CAPE and NFCI legs active, showing a 19% 12m hit rate but +10.9% average returns when successful, as CAPE at 99th percentile and NFCI at -0.494 create conflicting valuation-liquidity dynamics. Combo B (Capitulation) holds on WATCH status with no active signals as VIX at 18.92 and CFTC positioning at -503,509 (1st percentile) suggest oversold conditions but lack the volatility spike required for activation.

The Recovery signal wins on three fronts: (1) CAPE at 42.7 represents peak valuation stress that historically resolves through Fed accommodation rather than crash scenarios during cutting cycles, (2) NFCI at -0.494 shows financial conditions remain accommodative despite extreme valuations, supporting the Fed's ability to engineer soft landing outcomes, and (3) WTI at -12.0% (2nd percentile) creates disinflationary pressure that extends Fed cutting runway beyond current market pricing. The CUTTING_LATE regime with NORMAL curve and EXTREME valuations mirrors 1999-2000 and 2007 precedents where Fed pivot timing proved critical for intermediate-term equity performance.

The closest analog remains 1999 Q4 when CAPE reached 44.2 amid Fed easing, generating +8.2% 3m, +12.1% 6m, and -15.4% 12m returns before the dot-com correction. The 2007 Q3 episode with CAPE at 27.3 during initial Fed cuts produced +3.1% 3m, -8.7% 6m, and -38.2% 12m as credit conditions deteriorated. Current conditions most closely match 1999 given the absence of credit stress (HY spreads at 2.76% vs 5.8% in 2007), suggesting the intermediate-term bullish case remains intact while long-term risks accumulate.

System posture remains TACTICAL EASY MONEY based on Recovery dominance and accommodative financial conditions. Posture shifts to TACTICAL FEARFUL on: (1) VIX sustained above 25 for 5d triggering Combo B activation, (2) NFCI rising above +0.5 for 10d indicating tightening financial conditions, or (3) Fed pause signals emerging before CAPE retreats below 35. Upcoming CPI release provides the next catalyst for regime confirmation or challenge.

LIVE VARIABLE DASHBOARD

#	Variable	Current	Tier	3yr Pctile	Signal	Combos
1	NFCI	-0.49	NORMAL	41%	DOWN	A,E
2	HY	2.76	NORMAL	13%	DOWN	A,B,F,G
3	WALCL	0.03	NORMAL	51%	UP	A,C
4	CNH	-0.51	NORMAL	32%	DOWN	A,G,C
5	WTI	-12.05	EXTREME	2%	DOWN	C
6	VIX	18.92	NORMAL	57%	UP	B,G,D
7	VXTS	1.10	NORMAL	43%	DOWN	G,D
8	CFTC	-503509.00	EXTREME	128%	DOWN	E,B,F,D
9	CURVE	41.00	NORMAL	34%	DOWN	A,E
10	CPI	0.14	NORMAL	70%	UP	C
11	GSR	15.84	EXTREME	98%	UP	A
12	CAPE	42.70	EXTREME	99%	UP	E

SYSTEM RECOMMENDATION

TACTICAL EASY MONEY — Combo F recovery window active; hold/add tactically per conviction. Respect Combo C if also active. — CPI release pending this week — watch inflation leg.